Tinna Rubber & Infrastructure Ltd

Concall-Tracker report · Screener ticker TINNARUBR (NSE: TINNARUBR, BSE: 530475) · 12 earnings-call transcripts read (Q1 FY24 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Tinna takes **end-of-life tyres** — worn-out truck and bus tyres that would otherwise be dumped — shreds them, and turns them into saleable materials: crumb rubber, reclaimed rubber, recycled rubber powder, steel wire, and modifiers that road builders mix into bitumen to make longer-lasting roads. In plain terms: it is paid to take waste tyres and paid again for what it makes out of them, and it is now adding two new outputs, tyre pyrolysis oil and recovered carbon black.

Figure	Value	Plain-English read
Market capitalisation	**₹1,795 cr** (price ₹997)	What the whole company is worth on the stock market. The share has ranged ₹527–1,322 over the past year.
Price-to-earnings	**28.8×**; dividend yield 0.33%	The share trades at about 29 times the last year's profit — the market is paying for growth ahead, not for today's earnings.
Q1 FY27 revenue (Jun'26 qtr)	**₹151 cr, up 19% YoY**	Sales in the June 2026 quarter, against ₹127 cr a year earlier. Slightly below the March quarter's ₹155 cr — which management had warned about, because road-building work was slow.
Q1 FY27 operating profit	**₹33 cr, margin 22%**	Operating profit before interest, tax and depreciation — about 22 paise on every rupee of sales, and the **highest margin the company has ever recorded**, against 16% a year earlier.
Q1 FY27 net profit	**₹20 cr, up 82% YoY**	Profit after tax, versus ₹11 cr a year ago. Earnings per share ₹11.16 for the quarter. Management called it their "best ever quarterly profitability".
FY26 (full year)	**₹530 cr revenue, ₹53 cr profit**	Operating margin 17%. Note revenue grew only **~6%** over FY25's ₹505 cr — the profit came from margin, not from selling much more.
Three-year track record	**Revenue +23% CAGR, EBITDA +37%, PAT +34%**	Management's own figures for FY23–FY26. Profit has compounded much faster than sales — the business has been getting better, not just bigger.
Return on capital	**ROCE 23.0%; ROE 22.9%**	For every ₹100 of capital in the business it earns about ₹23 a year — genuinely good, and management targets above 30%.
Debt	**~₹134 cr borrowings**	Borrowings have risen (₹60 cr in FY23 to ₹134 cr) alongside fixed assets more than doubling to ₹171 cr — the company is borrowing to build plants, not to fund losses.
EPR credits	**~₹25–30 cr a year**	Extended Producer Responsibility credits: tyre makers must pay to have old tyres recycled, and Tinna earns tradable certificates for doing it. Management says this drops through at the pre-tax profit level — roughly a third of pre-tax profit, and it depends on regulation.

2. Concall coverage

Twelve consecutive quarterly earnings-call transcripts were read, oldest to newest — a clean three-year run from Q1 FY24 to the latest call. Screener carries no transcript for several 2021–22 calls, but those sit outside the three-year window this report grades.

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY24 (Jun 2023)	31 Jul 2023	₹81 cr · 15%	Yes
Q2 FY24 (Sep 2023)	Oct 2023	₹80 cr · 16%	Yes
Q3 FY24 (Dec 2023)	Feb 2024	₹93 cr · 16%	Yes
Q4 & FY24 (Mar 2024)	28 May 2024	₹110 cr · 19%	Yes
Q1 FY25 (Jun 2024)	Aug 2024	₹136 cr · 17%	Yes
Q2 FY25 (Sep 2024)	12 Nov 2024	₹117 cr · 16%	Yes
Q3 FY25 (Dec 2024)	11 Feb 2025	₹123 cr · 12%	Yes
Q4 & FY25 (Mar 2025)	May 2025	₹129 cr · 13%	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹127 cr · 16%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹117 cr · 18%	Yes
Q3 FY26 (Dec 2025)	09 Feb 2026	₹135 cr · 16%	Yes
Q4 & FY26 (Mar 2026)	25 May 2026	₹155 cr · 18%	Yes
Q1 FY27 (Jun 2026)	**22 Jul 2026**	**₹151 cr · 22%**	**Yes — latest**

Span: 13 quarters, just over three years. The company files transcripts promptly with both exchanges and its own website, and the same three or four executives appear on every call — an unusually good disclosure record for a company this size.

2b. Latest concall highlights — Q1 FY27 (call held 22 Jul 2026) ★

- **"Best ever quarterly profitability":** EBITDA above **₹30 cr**, PAT above **₹20 cr**, operating margin **over 21%** and net margin over 13% — on both standalone and consolidated numbers. Revenue ₹151 cr, up 19% year-on-year. Management attributed it to operational efficiency, cost discipline and a richer product mix, and when asked directly whether inventory gains from higher bitumen prices had flattered the margin, replied it was "very marginal, nothing meaningful".
- **Two brand-new product lines are finally arriving:** the **tyre pyrolysis oil** plant at Varle began trials in Q1 FY27, with commercial sales expected in Q2 and stabilisation by Q3; **recovered carbon black (rCB)** production is scheduled for Q3 FY27 with commercial sales by Q4. Management expects both to run at 15–19% margins — below the company average, but on revenue that does not exist today.
- **The value-added divisions are compounding:** PCMB (polymer-modified bitumen) revenue **tripled to ₹12 cr** from ₹4 cr a year ago, now 8% of the top line "in line with the indications given in earlier calls"; its first 6,000-tonne line runs at 82% utilisation and a new Haryana facility takes total capacity to 18,000 tonnes. The MRP expansion of 3,500 tonnes is on track for Q3 FY27, taking total MRP capacity to 20,000 tonnes — which management believes is the largest in the world. **Exports grew 46%** year-on-year.
- **Energy costs are being engineered down:** renewable energy supplied **51% of total power** in Q1 FY27, up from 24% in the first nine months of FY26, after capacity went from 1.23 MW to 4.48 MW. Rooftop solar was commissioned at Gummidipoondi (999 kW, June 2026) and Varle (2,218 kW, July 2026), saving **₹1.19 cr in the quarter alone**. An externally verified assessment put FY26 CO_2 reduction at over 10.37 million kg.

- **Guidance and the honest caveat:** FY27 revenue growth is guided at **20–25%**, and Q1 delivered 20% — an analyst pressed on how the top of that range would be reached, and management pointed to pyrolysis-oil and rCB revenues that "have yet to come in". Long-run margin guidance was raised to **18–20%** from the previous 18% aim. Capex of **₹27 cr** was spent in Q1 of a ~₹100 cr FY27–28 programme, with ~₹60 cr to be capitalised in FY27. Tyre-recycling capacity in India is 88% utilised; blended utilisation across all products is 75–80%.

2c. Business mix & capacity (quick facts)

Domestic vs export: exports are a **small but fast-growing single-digit share** — about 8% of turnover in FY24 (₹24 cr) and around 5% through the first nine months of FY25, with export *volumes* up ~50% then and export revenue up **46% year-on-year in Q1 FY27**. Plain read: this is overwhelmingly an Indian business, with an overseas arm being built deliberately rather than a meaningful revenue contributor yet. Overseas plants: Oman is operating and expected to stabilise at **₹30–36 cr of annual revenue (~5% of the group)**, with Saudi Arabia expected to be similar once fully operational, and South Africa in early development — both currently costing money ahead of revenue.

Segment mix: roughly 80–85% of the raw material is truck-and-bus radial tyre recycling. The five revenue streams are industrial (crumb/reclaim rubber), infrastructure (bitumen modifiers — a two-year Indian Oil order worth ~₹76 cr was won in FY26), PCMB (now 8% of revenue, heading to 10%), overseas, and EPR credits. Realisation is currently a little under **₹40,000 per tonne** of tyre processed.

Capacity utilisation: Indian tyre-crushing capacity is **185,000 tonnes a year, running at ~88%** — close to full, which is why the expansion matters. Capacity rose 9% during FY26 and is targeted to reach **235,000 tonnes by FY27 (+27%)**, with a longer-run ambition of 250,000 tonnes across ten plants. PCMB utilisation should reach ~60% this year on the enlarged 18,000-tonne base. **Blended utilisation across everything is 75–80%**, so there is real headroom in the newer value-added lines even as the core crushing plants run hot.

3. Earning Trigger thesis ★

The driver is not one thing but a deliberate, visible **shift up the value chain from waste disposal to speciality materials**. Tinna's core business — shredding truck tyres into crumb rubber — is a modest-margin volume trade. What management has been doing for three years is bolting higher-value products onto the same tonne of waste tyre: bitumen modifiers for roads, PCMB, recycled rubber powder (MRP), and now tyre pyrolysis oil and recovered carbon black. The proof is in the shape of the numbers: **FY26 revenue grew only ~6%, but operating profit grew 26% and margin went 14% → 17%, then to a record 22% in Q1 FY27.** On top sit three structural supports: regulation that pays them (EPR credits worth ₹25–30 cr a year straight to pre-tax profit), an energy cost base being engineered down (renewables now 51% of power), and near-full utilisation of core capacity that is being expanded 27%. The genuine open question is **scale**: the margin story has been delivered emphatically, but the revenue ambition keeps moving out in time.

Trigger	What management said	Evidence so far	Horizon	Strength
Margin expansion via value-added mix	Aim for 18% EBITDA margin; now guiding 18–20% blended long-run	**Delivered and beaten.** 14% (FY25) → 17% (FY26) → **22% in Q1 FY27**, with management stating gains are structural, not inventory-driven	Live	Strong
Capacity expansion 185k → 235k tonnes	+27% capacity by FY27; ~₹100 cr capex	On track — capacity already raised 9% in FY26, ₹27 cr of capex spent in Q1 FY27,	FY27	Strong

	across FY27–28, ~₹60 cr capitalised in FY27	core plants at 88% utilisation so the need is real		
PCMB division	Would reach 8–10% of revenue	**Delivered exactly.** Revenue tripled to ₹12 cr, now 8% of top line; capacity tripled to 18,000 tonnes; first line at 82% utilisation	Now	**Strong**
Tyre pyrolysis oil & recovered carbon black	TPO trials Q1 FY27, commercial Q2, stable Q3; rCB production Q3, sales Q4; both at 15–19% margins	Trials have genuinely started — but **zero revenue so far**, and these are the lines management is relying on to reach the top of its 20–25% growth guidance	FY27–FY28	**Moderate**
EPR credits	~₹25–30 cr a year, landing at the pre-tax profit level; "more or less stable"	Consistent across FY25, FY26 and guided flat for FY27 — but this is roughly a third of pre-tax profit and depends entirely on government policy and credit prices	Ongoing	**Moderate (policy risk)**
Energy cost reduction	Renewable capacity more than tripled 1.23 → 4.48 MW	**Delivered.** Renewables 24% → **51% of power**; ₹1.19 cr saved in Q1 alone; two rooftop solar plants commissioned on schedule	Structural	**Strong**
Overseas expansion (Oman, Saudi, South Africa)	Oman to stabilise at ₹30–36 cr (~5% of group); Saudi similar when operational	Oman running; Saudi and South Africa **still costing money before earning any** — management flagged this as a drag on near-term margins	FY27–FY29	**Unproven**
Infrastructure / road demand (headwind)	Warned Q1–Q2 FY27 infra would soften as roadworks slowed; expected to normalise later in the year	Accurate — Q1 revenue dipped slightly versus Q4. A ₹76 cr two-year Indian Oil order provides a floor	Near-term	**Cyclical**

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Ten operational plants and **~₹900 cr of revenue by FY27**	FY26 closed at ₹530 cr; FY27 is guided to ~₹640–660 cr. The ₹900 cr FY27 target will be missed by a wide margin	**Missed**
FY25–FY26	**"Vision 2028"** — ₹1,000 cr revenue by FY28 at 18%+ margin and 30% + ROCE	Restated as **"Vision 2029"** on the Q4 FY26 call — an analyst noted the target "seem[s] to have pushed". A second slip of the same headline number	**Slipped**
FY25	Margins to revive after one-time costs and freight pressure	Took longer than implied — margin fell to 12–13% in H2 FY25 — but then recovered	**Late, then delivered**

		convincingly to 17% (FY26) and 22% (Q1 FY27)	
FY26	18% EBITDA margin aim	Achieved 17% for FY26 and **21%+ in Q1 FY27**; long-run guidance raised to 18–20%	**Delivered (over)**
FY26	Capex of ~₹100 cr; capacity up to 185,000 tonnes	Both delivered — ₹100 cr+ spent, capacity up 9% to 185,000 tonnes, QIP proceeds fully deployed	**Delivered**
FY26–FY27	PCMB to contribute 8–10% of revenue	Reached 8% in Q1 FY27, revenue tripled — management noted it was "in line with the indications given in earlier calls"	**Delivered**
FY26	Renewable capacity more than tripled to 4.48 MW by Q4 FY26	Delivered; renewables reached 51% of power by Q1 FY27	**Delivered**
FY26–FY27	EPR credits ~₹30 cr a year, stable	Stable across FY25 and FY26, guided flat for FY27 — stated plainly, including that it lands at the profit line	**Delivered & candid**
Q4 FY26	Warned infra/road business would soften in Q1–Q2 FY27	Happened as described — Q1 revenue eased versus Q4. They pre-announced their own weak patch	**Accurate**
FY27	20–25% revenue growth; TPO commercial in Q2, rCB in Q3/Q4	Q1 delivered 20%. Under direct questioning, management conceded the upper half depends on TPO and rCB revenues that have not yet started	**Too early**

Narrative drift: The *strategy* has been unusually stable — recycle end-of-life tyres, climb the value chain into higher-margin derived products, expand capacity, cut energy cost, and build a small overseas footprint. The same three or four executives have fronted every one of thirteen calls, transcripts are filed promptly with both exchanges, and they routinely volunteer bad news before being asked: the H2 FY25 margin fall, the freight squeeze, the cost of Saudi and South Africa ahead of revenue, and a pre-announced soft patch in the infra segment for Q1–Q2 FY27 that then duly arrived. When an analyst suggested the record margin might be inventory gains on bitumen, they answered directly rather than deflecting. That is a good disclosure culture. The drift is entirely in **one dimension: how big, and by when.** In FY24 the stated goal was ten plants and ~₹900 cr of revenue by FY27; that became ₹1,000 cr by FY28 under "Vision 2028"; and by the Q4 FY26 call it had become "Vision 2029". Two documented slips of the headline number, against a base that grew just ~6% in FY26. The compensating fact — and it is a real one — is that every *profitability* commitment has been met or beaten: margin, ROCE, capex, PCMB share, renewable energy, EPR. This is a management that has consistently over-delivered on quality and under-delivered on scale.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, live driver and it is already visible in the accounts rather than promised for later. The move from bulk tyre-shredding into higher-value derived materials has taken operating margin from 14% in FY25 to 17% in FY26 to a record 22% in Q1 FY27, and it did so in a year when revenue grew only ~6% — which is precisely the evidence that the gain is mix and efficiency, not a demand windfall. Underneath it sit several independent supports rather than a single bet: core crushing capacity at 88% utilisation being expanded 27% to 235,000 tonnes; PCMB revenue tripling to 8% of the group exactly as guided; MRP heading to what management believes is the world's largest capacity; renewable energy already halving the power bill's exposure and saving ₹1.19 cr in a single quarter; exports up 46%; and EPR credits contributing ₹25–30 cr a year straight to pre-tax profit. Two qualifications keep this from being unreserved. Roughly a third of pre-tax profit comes from EPR credits, which exist because of government policy and could be changed by it. And the two newest products, pyrolysis oil and recovered carbon black, carry the top half of this year's growth guidance while having earned nothing yet. The trigger is real; the FY27 *rate* of growth is the part still to be proven.

Management consistent? → MAYBE

This is a genuinely close call, and it splits cleanly in two. On **profitability** the record is excellent: an 18% margin aim met and then beaten at 21–22%, capex of ₹100 cr delivered, capacity raised as promised, PCMB landing at exactly the 8–10% share indicated on earlier calls, renewable capacity tripled on schedule, EPR contribution stated candidly and delivered flat, and a soft infra quarter pre-announced a quarter before it happened. The disclosure culture is strong — thirteen consecutive transcripts, the same executives every time, direct answers to hostile questions, and bad news volunteered rather than extracted. On **scale**, however, the headline promise has now moved twice. In FY24 management targeted ten plants and roughly ₹900 cr of revenue by FY27; that became ₹1,000 cr by FY28 as "Vision 2028"; and by May 2026 it had quietly become "Vision 2029", a shift an analyst had to raise on the call rather than management leading with it. Meanwhile FY26 revenue grew about 6%. Missing a three-year revenue target by roughly 30% and then extending the horizon twice is not a trivial blemish, however good the margins are. So: a management that reliably delivers what it can control and repeatedly over-promises on how fast it will get big. That is a Maybe — and it would become a Yes with two things: the pyrolysis-oil and rCB plants converting to revenue on the stated Q2–Q4 FY27 timetable, and FY27 landing inside the guided 20–25%.

Prepared from twelve Tinna Rubber & Infrastructure Ltd earnings-call transcripts, Q1 FY24 (31 Jul 2023) through Q1 FY27 (22 Jul 2026), sourced from Screener.in; all figures as disclosed by management on those calls or from Screener.in financial statements. Screener holds no transcripts for several 2021–22 calls, which fall outside the three-year window graded here. **This is not investment advice. Do your own due diligence.**